

Summit Scholars Charter

5-Year Financial Overview for Board Review

Prepared March 29, 2026

 **Financial Outlook: The financial outlook needs attention in several areas.**

1 health dimension is in good standing, 2 should be monitored, 5 need prompt attention.

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This summary is generated from the school's financial model for board discussion purposes.

Financial Outlook at a Glance

The financial outlook needs attention in several areas. 1 health dimension is in good standing, 2 should be monitored, 5 need prompt attention.

 **Cash Position: Cash runway is approximately 1 months**

Financial Overview

Summit Scholars Charter projects \$9,215,000 in Year 5 revenue, with 8 of 14 key metrics that need attention. This is a starting point, and working through the recommendations below will help you build the financial story your mission deserves. The school has approximately 1 months of cash runway.

[~] Lender Readiness: Not Yet Ready

[~] Biggest Strength: Healthy per-student revenue

[~] Biggest Risk: Year 1 projects a \$938,543 shortfall, which is very common for early-stage schools and worth planning around

[~] Cash Runway: 1 months

School Overview

Summit Scholars Charter is a Startup / Pre-Opening Charter School organized as a 501(c)(3) Nonprofit with a Public Funded (Charter) funding profile.

5-Year Financial Projection

The model reaches break-even in Year 5. Year 5 change in net assets is projected at \$217K (2.4% margin).

[+] Revenue per Student (Year 1): \$10,570

[!] Cost per Student (Year 1): \$13,845

[!] Staffing Cost (% of Revenue): 66.2%

[!] Operating Cost (% of Revenue): 51.6%

[!] Net margin (Year 1): -17.8%

[~] Net margin (Year 5): 6.5%

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	500	\$5.3M	\$6.5M	\$-1.2M	-23.2%
Year 2	625	\$6.5M	\$7.2M	\$-706K	-10.9%
Year 3	740	\$7.6M	\$8.0M	\$-362K	-4.8%
Year 4	840	\$8.6M	\$8.6M	\$-35K	-0.4%
Year 5	900	\$9.2M	\$9.0M	\$217K	2.4%

Financial Health Assessment

Across 8 health dimensions: 1 healthy, 2 on watch, 5 at risk.

[-] viability: Watch closely
 [-] liquidity: Needs attention
 [-] staffing burden: Needs attention
 [+] facility burden: Healthy
 [-] debt affordability: Needs attention
 [-] revenue concentration: Watch closely

Health Dimensions

Dimension	Status	Details
Viability	Watch closely	The model reaches break-even by Year 4, but margins remain thin. A revenue shortfall could push it negative.
Liquidity	Needs attention	Cash goes negative in month 1. The school will need outside funding to continue operating.
Staffing Burden	Needs attention	Staffing at 66% of revenue is above the sustainable range. There's too little left for everything else.
Facility Burden	Healthy	Facility costs at 7% of revenue are well-managed and leave budget for programs.
Debt Affordability	Needs attention	DSCR of -0.34x means operating income does not cover debt payments. This must be resolved.
Revenue Concentration	Watch closely	94% of revenue comes from public funding. This is typical for charter schools, but disbursement timing and policy changes can create cash flow gaps.
Days Cash	Needs attention	Only 0 days of cash on hand — well below the 45-day minimum. The school is at risk of running out of cash.
Reserve Strength	Needs attention	Less than 1 month of reserves by Year 5. The school has no financial cushion.

Key Strengths

The model demonstrates 5 notable strengths.

[+] Revenue per Student (Year 1): \$10,570
 [+] 5-Year Revenue Growth: 74.4%
 [+] Capacity Utilization (Year 5): 100.0%
 [+] Philanthropy (% of Revenue): 6.0%
 [+] Management Fee (% of Revenue): 3.0%

What to Watch

The board should be aware of 3 key areas:

1. Cash goes negative

Negative cash means the school cannot pay its bills without outside funding. Lenders and authorizers will flag this immediately.

Action: Identify how you'll bridge the \$1,460,978 gap — startup grants, a line of credit, or phased expense reductions. Then adjust your revenue or cost assumptions to close it faster.

2. Debt payments exceed operating income

A DSCR below 1.0x means every dollar of debt service requires outside cash. No lender will approve this without a clear path to improvement.

Action: Reduce loan amounts, extend terms, or increase revenue before committing to this debt load. Consider whether the capital expenditure can be phased.

3. Cash runway is short

A short cash runway means you need revenue to arrive on schedule with no delays. Any hiccup — late tuition payments, delayed public funding, or unexpected costs — could create a cash crisis.

Action: Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening.

Recommended Next Steps

1. Plan for Your Year 1 Startup Phase

Your model projects a \$938,543 shortfall in Year 1, which is completely normal for a new school. Start identifying sources to bridge this gap: startup grants, personal investment, or a small line of credit. Many successful schools began exactly this way.

Addressing this will materially improve financial position.

2. Explore Ways to Optimize Staffing Costs

At 66.2% of revenue, staffing is above the 65% target most schools aim for. Some options to explore: adjusting student-teacher ratios, phasing in admin hires as enrollment grows, or slightly increasing class sizes. Your team is your greatest asset, and this is about finding the right balance.

Addressing this will materially improve financial position.

3. Strengthen Your Debt Service Coverage

Your DSCR of -0.34x is below 1.0x, meaning debt payments exceed operating income right now. Some paths forward: reducing the loan amount, extending the term, or growing revenue. Strengthening this ratio gives you more financial breathing room and makes your model more resilient.

Addressing this will materially improve financial position.

Scenario Comparison

The model includes 3 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (25% fewer students)	\$9.2M	\$1.9M	20.3%
Base Case	\$9.2M	\$217K	2.4%
State Funding Cut (-8%)	\$8.5M	\$-498K	-5.9%